

M/s Magma Industries Ltd. v. Paschimanchal Vidyut Vitran Nigam Ltd.

High Court of Judicature at Allahabad · Division Bench · 19 December 2017 · Writ-C No. 36105 of 2014 · **Writ dismissed; additional-security demand under clause 4.20 not bad.**

HEADNOTE

Industrial consumer's writ to quash PVVNL's additional-security demand of Rs.33,16,080 under clause 4.20 of the U.P. Electricity Supply Code, 2005, and to declare clause 4.20(i)/(i)(L) ultra vires sections 47(4) and 47(5) of the Electricity Act, 2003, dismissed following the coordinate Bench in Dev Prayag Paper Mill, which held that such a demand is not bad.

FACTUAL SUMMARY

M/s Magma Industries Limited, a consumer of Paschimanchal Vidyut Vitran Nigam Ltd., was billed Rs.33,16,080 as additional security under clause 4.20 of the U.P. Electricity Supply Code, 2005, by demand dated 30.06.2014. It sought to quash that demand, recover interest and refund on security already deposited, and have clause 4.20(i)/(i)(L) of the 2006-amended Code declared ultra vires sections 47(4) and 47(5) of the Electricity Act, 2003. Interim restraint was granted on 16.07.2014.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.20

additional security deposit

HOLDING

Demand of additional security by the distribution licensee under clause 4.20 of the U.P. Electricity Supply Code, 2005 is not bad; a writ seeking to quash such a demand and to invalidate clause 4.20(i)/(i)(L) as ultra vires sections 47(4) and 47(5) of the Electricity Act, 2003 is dismissed, following the coordinate Bench in M/s Dev Prayag Paper Mill (Pvt.) v. State of U.P. (Writ-C No. 30898 of 2016, 21 March 2017). ¶ 3

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
M/s Dev Prayag Paper Mill (Pvt.) v. State of U.P. Writ-C No. 30898 of 2016 (21 March 2017)			3	Referred
M/s Supreme Ceramics Ltd. v. Paschimanchal Vidyut Vitran Nigam Ltd. Writ Petition No. 51844 of 2009 (order dated 7.10.2009)			1	Referred